In addition to working with the government on PSB reform, my focus was on freeing up entry into the banking system, especially for new banks that might target underserved clients, so that there would be more competition and better service for all customers. In the Annual Day lecture at the Competition Commission of India on 20 May 2014, I got a chance to explain the RBI's strategy. I discussed the two grand bargains that underlay the past, and why that had to change. Many of the possibilities discussed in this speech were later translated into policy action. The work on banking reform was led by a succession of very able deputy governors, Anand Sinha, R. Gandhi, and N.S. Vishwanathan, aided by executive directors of the calibre of B. Mahapatra and Sudarshan Sen.

Competition in the Banking Sector: Opportunities and Challenges

Competition is the life force of a modern economy – it replaces dated and inefficient methods while preserving valuable traditions; it rewards the innovative and energetic and punishes the merely connected; it destroys the stability of the status quo while giving hope to the young and the outsider. True competition eliminates the need for planners, for as gravity guides water through the shortest path, competition naturally guides the economy to the most productive route.

Healthy competition is not just the best way to grow but also the best way to include all citizens; what better way to get needed services to a poor housewife than to encourage providers to compete for her money? What better way to uplift a member of a backward community than for private employers to compete to hire her for a good job?

Healthy growth-inducing inclusive competition does not, however, emerge on its own. Without intervention, we get the competition of the jungle, where the strong prey on the weak. Such competition only